August CPI – Came in on our expectations

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By Justin Smirk & Neha Sharma

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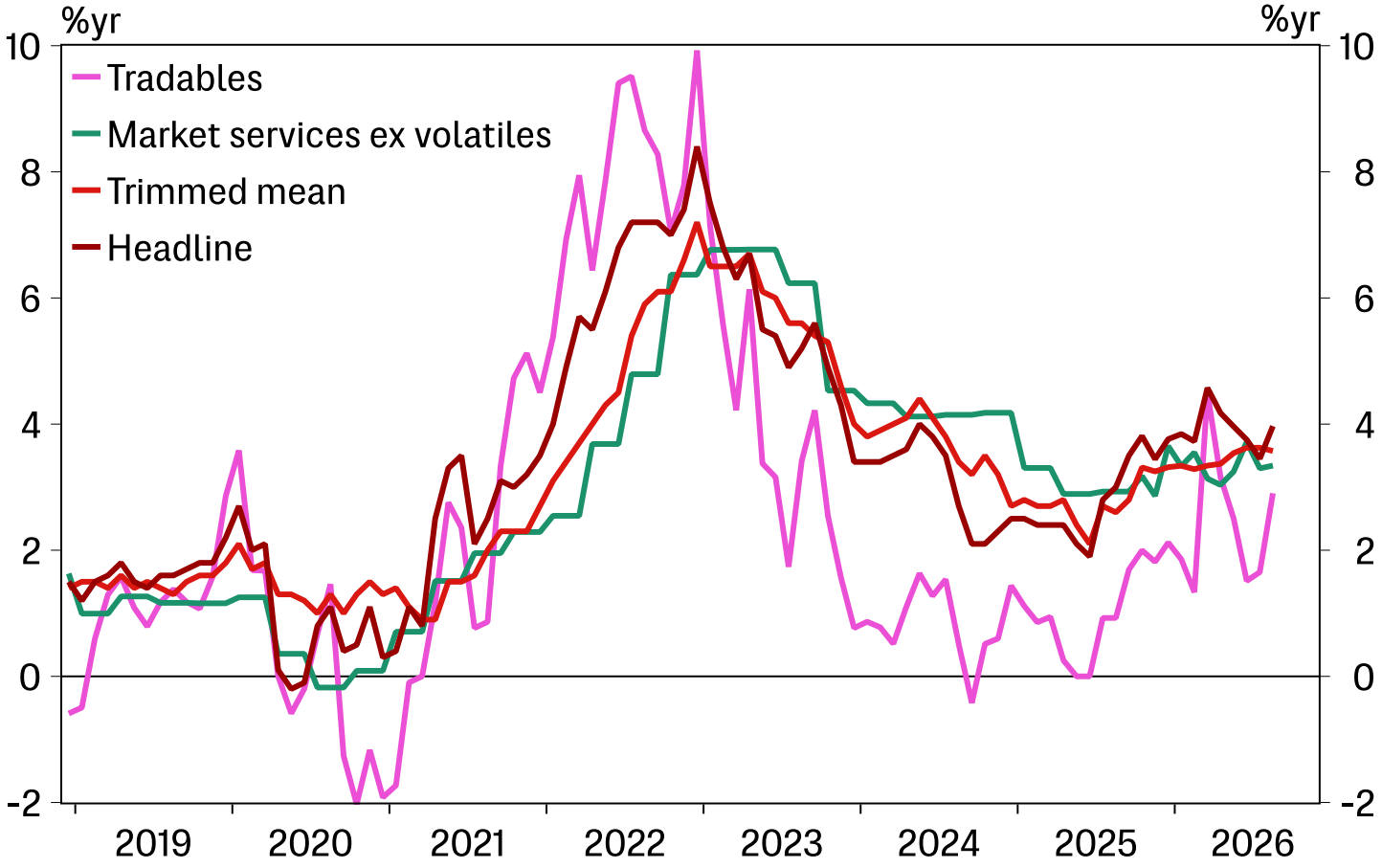
August Monthly CPI: Headline 0.4%mth/4.0%yr, Trimmed Mean 0.2%mth/3.6%yr. Market services ex volatile –0.4%mth/3.3%yr.



- The CPI rose 0.4% in August, spot on Westpac's expectation but a bit softer than market expectations of 0.5%. Due to base effects the annual pace picked up to 4.0%yr from 3.5%yr.

- Key factors driving the headline result were auto fuels (14.8%); games, toys & hobbies (10.2%) with rents providing a solid base (0.3%) while some offset was provided by both domestic (–4.9%) and international holiday travel & accommodation (–1.5%).
- Trimmed mean (TM) inflation printed 0.2% again bang on Westpac's expectation while the market was slightly higher at 0.3%. The annual pace was flat at 3.6%yr, the third month in a row at this pace, while the six-month annualise pace was steady at 3.9%yr.
- Key factors driving the TM print were: rents (0.3%) and new dwelling purchases (0.2%). The TM distribution ranged from –0.38% to 0.82%.
- Today's inflation update revealed price discounting for some durable goods as retail demand softens. We would expect to see a bounce from these categories in the following month. There was also offsetting strength elsewhere in durable good so at least for now, the momentum continues to suggest some near term upside risk to our current inflation estimates.
- Nevertheless, as the TM came in on expectations and based on a first quick pass at updating the quarterly profile, we see little pressure to revise our current Q3 estimates of 1.3%qtr for the CPI and 0.9%qtr for the TM.
- The RBA remains alert to near term inflationary risks. We are expecting the momentum in TM inflation to remain well above the top of the target band through to year-end underpinning our expectations for the RBA to raise rates again in November.

Monthly inflation

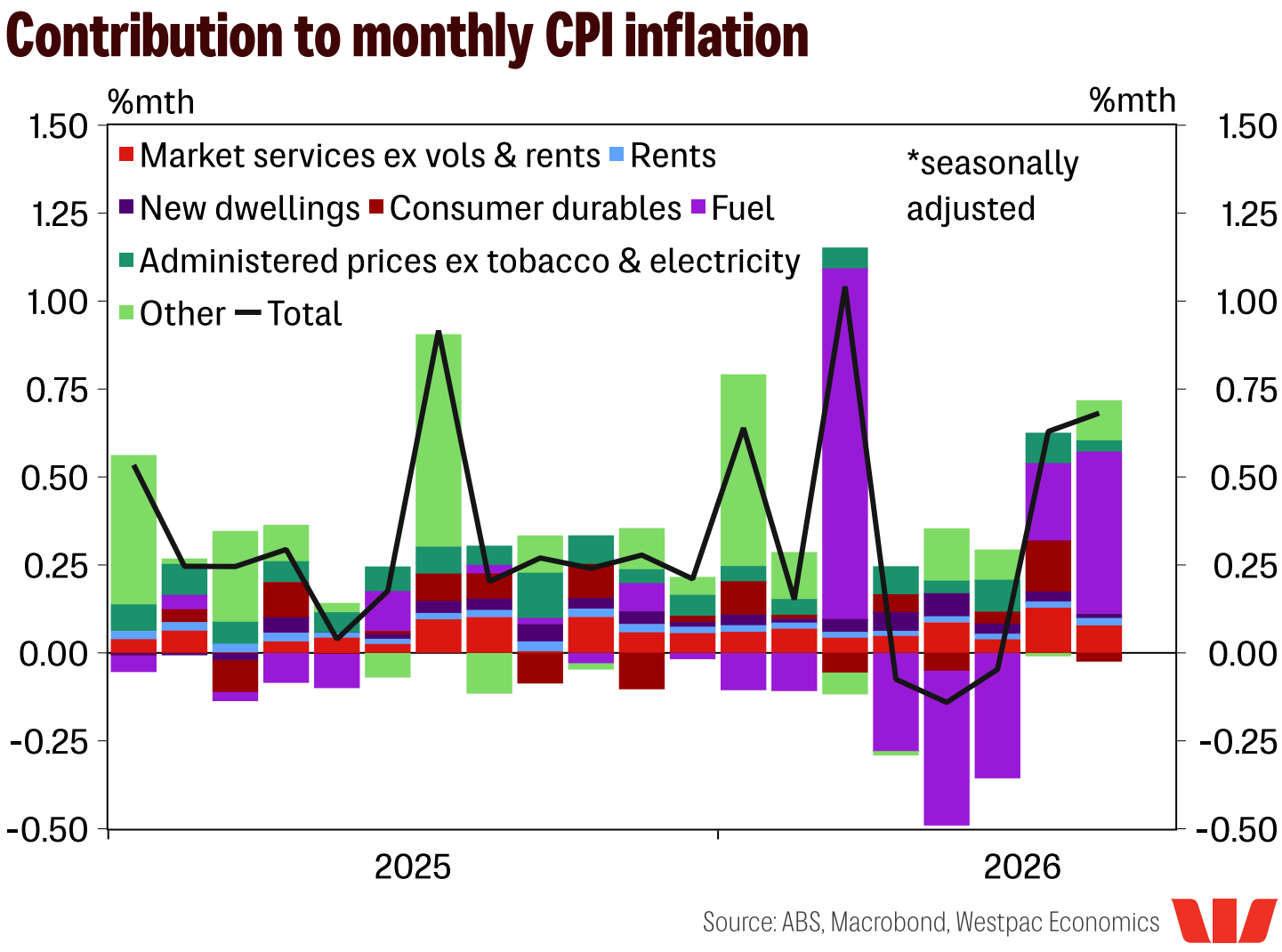


Source: ABS, Macrobond, Westpac Economics

August CPI in more detail

Following the bumper read in July, the monthly CPI moderated in August rising 0.4%mth. This was in line with our expectations and slightly softer than the market consensus. This took the year-ended pace to 4.0%yr. On a seasonally adjusted basis the CPI rose 0.7%mth highlighting the impact of seasonal sales in August.

They key drivers behind the monthly lift were automotive fuel, up 14.8%mth, contributing 0.5ppts to the headline figure. The surge resulted from the ending of the fuel excise discount on August 3 and rising global energy prices. With crude oil prices still elevated due to the conflict in the middle east, and growing shortages of refined products due to both the middle east conflict and Ukrainian assaults on Russian refining capacity, auto fuel is expected to remain an inflationary impulse at least until the end of 2026.



The monthly TM also softened, rising 0.2%mth compared to the 0.5%mth read from July. The result was again in line with our expectations, and very close at two decimal places (0.24%mth vs 0.23%mth), but softer than the market's view. The year-ended pace held at 3.6%yr for the third consecutive month, although it continued to ease marginally at the second decimal place. In contrast, the six-month annualised pace has continued to trend higher since April and is currently running at 3.9%yr.

There is a possibility that as the ABS continues to grapple with seasonal adjustment issues we will see revisions to the TM estimates. Last July also saw a strong 0.48%mth read which eased to 0.29%mth in August. This is not too dissimilar from the 0.48%mth and 0.24%mth reads for 2026.

We are expecting core inflation to start to moderate as we get to year end but our current estimate for the month of December still has the TM running at a 3.3% in the year while the six-month annualised pace is still a chunky 3.1%. Applying a trim on the seasonally adjusted 3m/3m expenditure classes yields a TM of 0.9%qtr currently. This is in line with our current Q3 TM estimate.

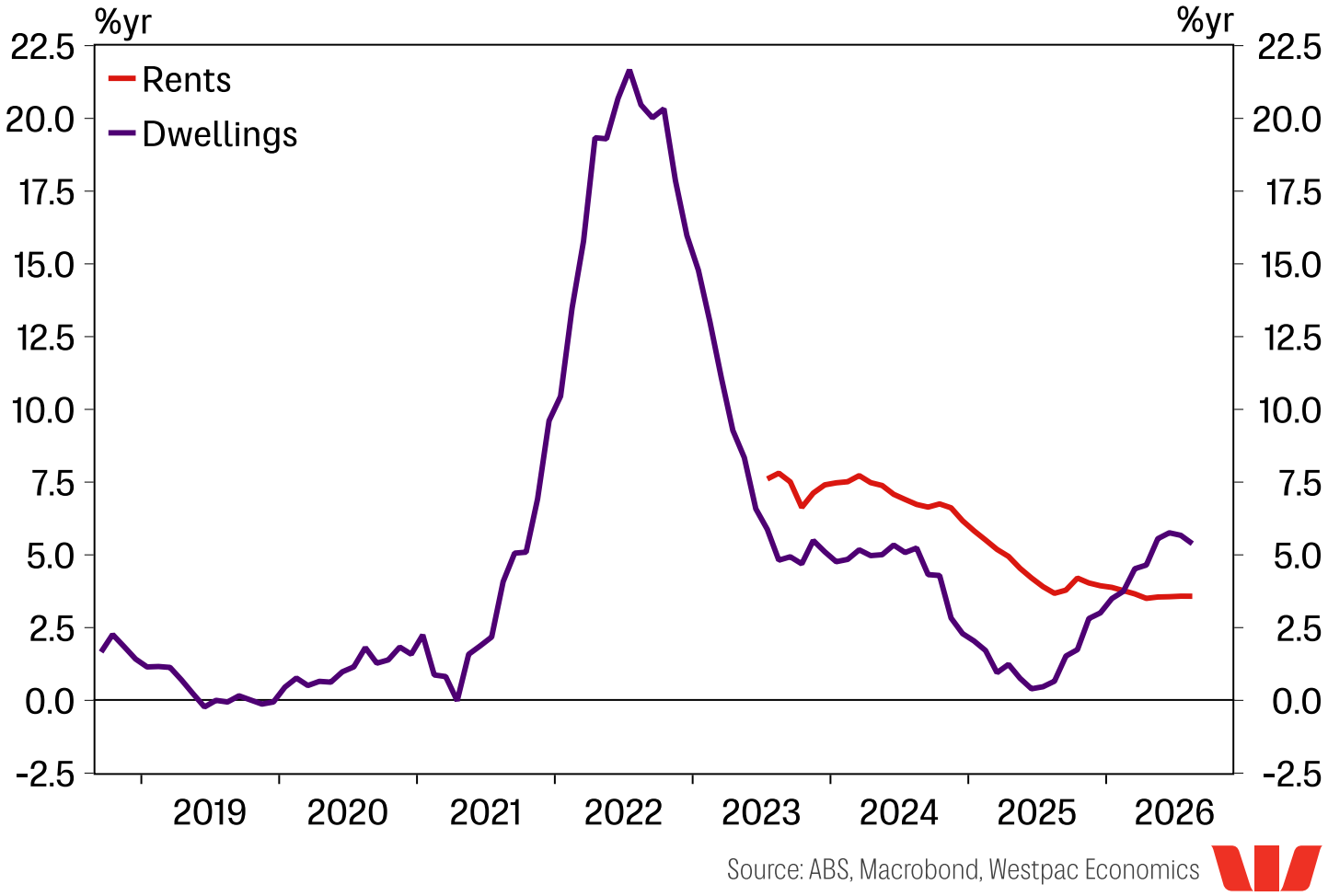
Other measures of underlying inflation told a similar story, easing on a monthly basis but holding steady on a year-ended basis. Market services ex volatiles fell –0.4%mth to be 3.3%yr higher. Excluding both volatiles & holidays saw a 0.2%mth/4.1%yr lift.

Most market services components eased in the month (including on a seasonally adjusted basis) but annual growth across this group as a whole remained above the RBA's 2-3% target band. The near-term momentum (three-month annualised) is also quite strong across several components of services. Of note include deposit and loan facilities (11.2%mth), sports participation (10.9%), clothing repair (7.0%), restaurant meals (6.8%) and other household services (5.2%). We are closely watching market services as this is where inflationary risks, outside of energy, appear to be most persistent.

Due to its sizable weight in the CPI, and the fact price changes here tend to be less volatile than many other categories, so they almost always appear in the TM estimates, housing prices remain a key focus. Rents rose 0.3%mth in August, in line with our expectations, to be up 3.6%yr. Since April, the seasonally adjusted rents series has been running lower than the non-seasonally adjusted series. We are expecting rents to hold around this pace till year end before moderating modestly as we move through 2027.

New dwellings inflation was 0.2%mth in August (softer than our expectation for a 0.4%mth rise). Since peaking in May, monthly price growth has slowed in each successive month, potentially reflecting increasing difficulty for developers in passing through higher costs amid softer conditions in established housing markets and weaker demand in the face of higher interest rates. The annual pace looks to have topped out. It was at 5.8%yr in June easing to 5.4%yr currently with the three-month annualised pace at 3.7%. We expect dwelling price inflation to continue easing through to the end of 2027 as falling established house prices limit the ability of builders to pass on rising construction costs. There is a medium-term risk that as conditions improve builders may raise prices more aggressively to claw back margins.

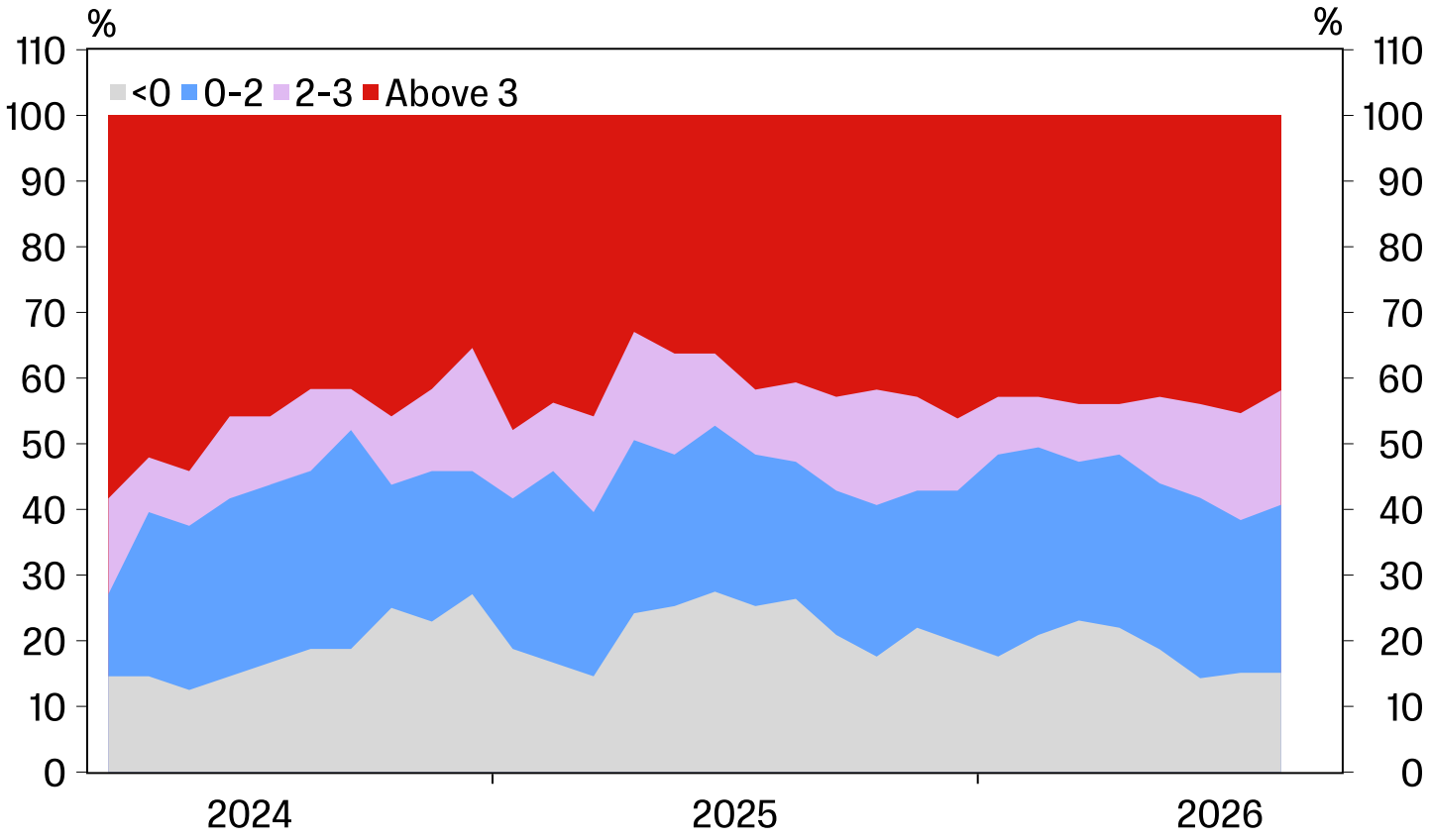
Housing inflation – rents and dwellings



Overall, the breadth of inflation moderated in August. The share of the basket running above 3%yr eased from 45% to 42%, with the share below 2%yr increasing from 38% to 41%.

Inflation Sub-Categories

Year-ended, Share of Basket



Source: ABS, Macrobond, Westpac Economics

Key surprises in the month:

Upside surprises

- Insurance surprised to the upside (0.7%mth vs 0.3%mth) after a run of weaker-than-usual reads over the past two months.
- Motor vehicle repair costs rose a solid 0.8% against our 0.3%mth expectations, with spare parts and accessories also up 0.3%mth vs –0.4%mth.
- Footwear rose 1.7%mth against our expectations for a -2.9%mth decline, the gains were broad-based across women, men & children.
- Household goods surprised to the upside. Household appliances, utensils and tools rose 1.9%mth against our flat expectations, meanwhile household textiles fell –1.0%mth against our expectations for a –5.0%mth fall. Furniture and furnishings also fell by less than expected –0.6%mth vs –1.3%mth.
- Recreation and culture surprised to the upside (–1.0%mth vs –1.5%mth), owing to a 1.4%mth lift in other recreation, sport & culture against our expectations for a flat read on the back of an outsized gain in games, toys & hobbies (10.2%mth vs 2.5%mth). Holiday travel was marginally less weak than expected (–3.3% vs –3.5%mth).

Downside surprises

- Food was the key downside miss falling –0.1%mth against our expectations for a 0.2%mth lift. Meat & seafood (–0.9%mth vs 0.5%mth) and fruit & vegetables (–1.2%mth vs 0.1%mth) were the key areas of weakness.
- Audio, visual and computing equipment and services came in weaker-than-expected (0.7%mth vs 1.2%mth), owing to a softer 0.6%mth lift in computing services (3.0%mth expected). This was partly balanced by a stronger than expected lift in computing equipment (0.9%mth vs –0.5%mth). The latter is where we are most likely to see the impact of the AI boom in the CPI, due to computer chip inflation, other than construction cost inflation for new dwellings.
- Motor vehicles came in lower at –0.4%mth vs –0.1%mth which could be the start of price pressures associated with the rapid expansion of the share of Chinese cars in the Australian market. Automotive fuel was also slightly softer at 14.8%mth vs 16.7%mth.
- Garments and accessories were both softer. Garments fell –1.9%mth against our expectations for a 0.2%mth rise, meanwhile accessories came in at 0.1%mth vs 0.5%mth expected.

CPI Item	Qtr CPI Jun-26 % qtr	Monthly CPI Jun-26 % mth	Monthly CPI Jul-26 % mth	Monthly CPI Aug-26 % mth	WBC fcs Aug-26 % mth
Food	1.0	0.4	0.3	-0.1	0.2
of which, bread & cereals	0.0	0.7	-0.3	0.0	0.4
of which, meat & seafood	0.8	-0.3	0.2	-0.9	0.5
of which, dairy & related products	2.1	1.3	0.2	-0.1	0.3
of which, fruit & vegetables	3.4	1.0	-0.8	-1.1	0.1
of which, food products nec	-0.7	-0.2	0.0	0.3	0.4
of which, non-alcohol beverages	1.6	1.0	0.0	0.3	-0.4
Alcohol & tobacco	0.5	-0.5	1.2	0.5	0.1
of which, Alcohol	0.1	-0.7	1.2	0.5	0.2
of which, Tobacco	1.5	0.0	1.2	0.5	0.0
Clothing & footwear	1.1	-1.0	2.6	-0.9	-0.1
of which, garments	0.7	-3.1	3.2	-1.9	0.2
Housing	0.9	0.5	0.4	0.2	0.3
of which, Rents	0.8	0.3	0.4	0.3	0.3
of which, House purchases	1.8	0.4	0.4	0.2	0.4
of which, Electricity	0.3	0.7	-1.6	0.0	-0.7
of which, Gas & other fuels	-1.9	2.7	2.8	0.0	2.6
H/hold contents & services	0.1	-4.2	4.4	0.2	0.0
Health	2.2	-0.1	0.1	0.1	0.0
Transportation	-0.7	-2.7	2.6	4.2	4.5
of which, auto fuel	-2.1	-10.9	7.5	14.8	16.6
Communication	0.6	-0.7	1.8	-0.2	0.0
Recreation	-0.4	1.8	1.8	-1.0	-1.5
of which, holiday travel	-1.0	4.6	1.8	-3.3	-3.5
Education	1.5	0.0	0.0	0.1	0.1
Financial & insurance services	0.9	0.5	0.2	0.2	0.1
CPI: All groups %qtr/%mth	**0.6**	**-0.1**	**1.0**	**0.4**	**0.4**
Trimmed Mean: %qtr/%mth	**0.8**	**0.3**	**0.5**	**0.2**	**0.2**

What does this mean for the RBA?

Yesterday, post the RBA rate hike and monetary policy decision statement, Westpac changed its view from a November follow up rate hike being a risk to being the base case. The post-meeting statement was notable for its emphasis on the Middle East conflict, noting that “global energy prices are now much higher than had been assumed in the August forecasts”. In addition, RBA’s liaison suggests firms are passing this on or planning to do so. The pass-through was characterised as partial, and additional to domestically driven inflation arising from capacity pressures. We read this as implying that the RBA is concerned about upside risks to underlying inflation in Q4 of this year, as well as Q3.

Our current forecast of 0.9%qtr for the September quarter TM stands post today's release and represents a step up from 0.8% in the June quarter holding the annual pace at 3.6%yr. Our current forecast for the Q4 TM is 0.7%qtr/3.3%yr but given the move in energy prices, and anecdotes of firms now passing on those rising costs, we too see upside risks to this estimate.

As such, we hold to the view that the RBA will follow up with another rate hike in November. For more information on the RBA decision please see Luci Ellis's note "RBA hikes in September, November follow-up now expected".

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